PANDEMIC STRUCK

India's middle class is still reeling from the body blows of the pandemic—salary cuts, shaky job security and rising levels of debt. Direct support in Budget 2022 would have gone a long way

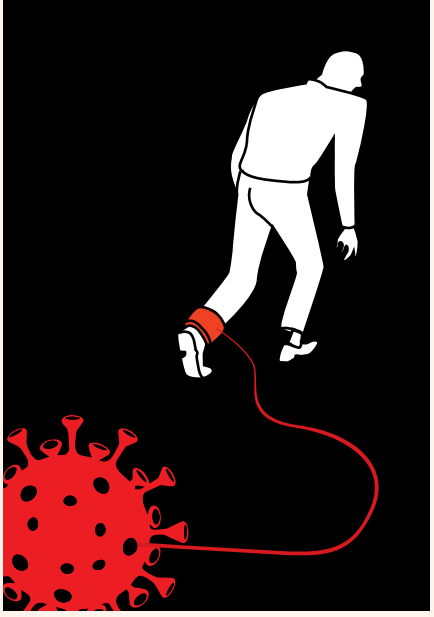
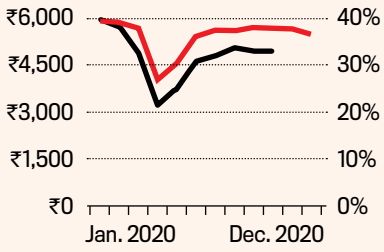


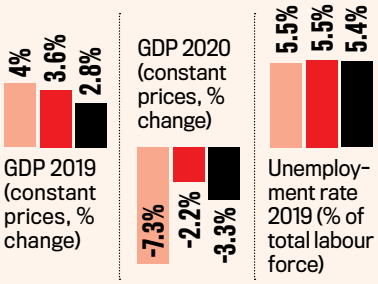
Illustration by TANMOY CHAKRABORTY

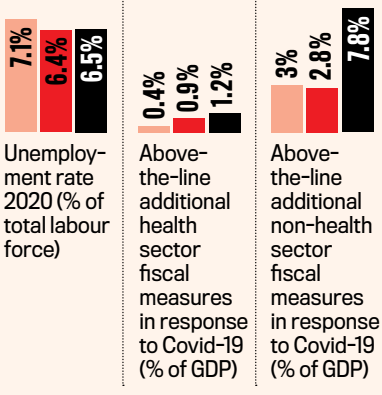
THE FIRST FALL The sharp fall in the job market as the pandemic began was not recouped by the end of 2020. The following year saw more woes



Income in Jan. 2020 prices, adjusted for seasonality

INDIA'S ECONOMY: THE BIG PICTURE



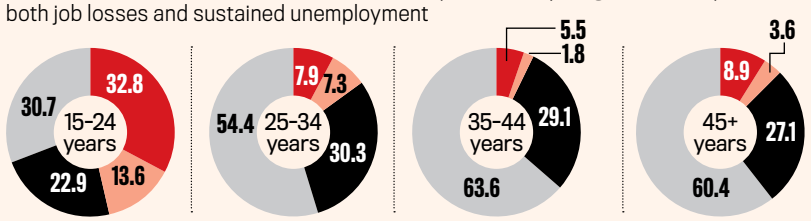


India Comparable countries World

Source: World Economic Outlook database April 2021, International Monetary Fund (Maitreesh Ghatak and Raghavan study)

Graphic by TANMOY CHAKRABORTY

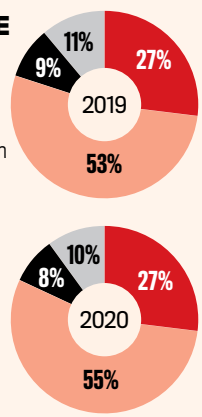
THE VULNERABLE YOUNG In 2020, 32.8 per cent of young workers reported both job losses and sustained unemployment



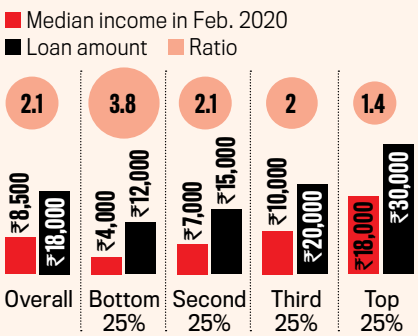
No recovery#1 Delayed job loss#2 Recovery#3 No effect#4 *(Figures in per cent)*

#1: Lost work during the lockdown, did not recover it by December; #2: Did not lose work during the lockdown, but lost it by December; #3: Lost work during the lockdown but recovered it by December; #4: Did not lose work during lockdown or after

JOB CHANGE There was a shift of workers from salaried jobs to self employment from 2019 to 2020



CAPITAL STARVED Indebtedness increased in 2020, especially among poor households



Source: Azim Premji University, State of Working india 2021

nine per cent. In the post-Independence period, India's national income has declined only four times before 2020—in 1958, 1966, 1973 and 1980. The report notes: 'The largest drop was in 1980 (5.2 per cent) when the economy was in turmoil due to a countrywide drought and the doubling of global oil prices due to the revolution in Iran. This implies that

32 mn
The drop in the size of the middle class in 2020 according to Pew Research

2020-21 is the worst year in terms of economic contraction in India's history.' A 2020 study by researchers at the Azim Premji University's Centre for Sustainable Employment on the effect of the crisis on self-employed, casual and regular wage workers across 12 Indian states between mid-April and mid-May 2020 reported a 64 per cent drop in earnings. Another